

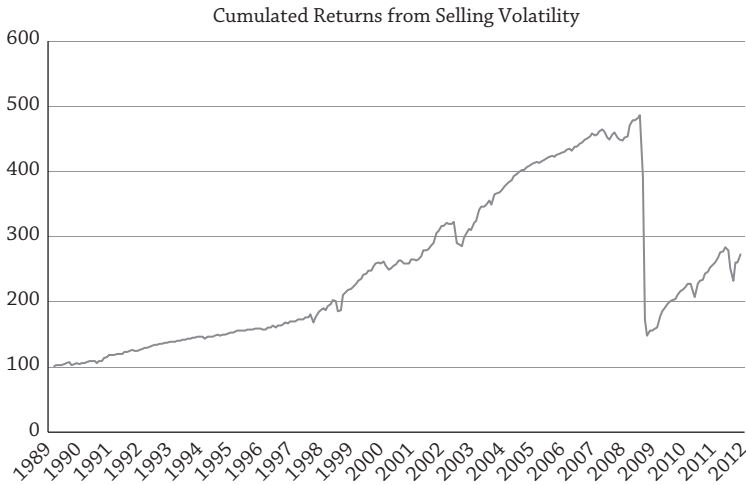


Figure 7.4

Unfortunately, some investors who sold volatility prior to the financial crisis failed to anticipate that a crash like the one of 2008 would materialize. But it did, and the abysmal returns of many assets resulted to a great extent from them being exposed to volatility risk. While forecasting when a crash will take place is always hard, if not impossible, investors might have known from past data that a crash of this type will happen from time to time. For example, volatility had spiked to these levels during the Great Depression. In fact, during the 1930s, volatility was not only extremely high, but it remained high for a much longer period than the 2008–2009 experience.

Only investors who can tolerate periods of very high volatility—which tend to coincide with negative returns on most risky assets—should be selling volatility protection through derivatives markets. Selling volatility is like selling insurance. During normal times, you collect a premium for withstanding the inevitable large losses that occur every decade or so. The losses endured when volatility spikes represent insurance payouts to investors who purchased volatility protection.

In chapter 4, I showed that rebalancing as a portfolio strategy is actually a short volatility strategy. Thus, the simple act of rebalancing will reap a long-run volatility risk premium, and the person who does not rebalance—the average investor who owns 100% of the market—is long volatility risk and loses the long-run volatility risk premium.¹² A long-run, rebalancing investor is exposed to the possibilities of fat, left-hand tail losses like those in Figure 7.4. There are two differences, however. Rebalancing over assets (or strategies or factors as in chapter 14) does not directly trade volatility risk. That is, rebalancing over stocks

¹² Sharpe (2010) calls a non-rebalancing strategy an adaptive allocation policy.